

Japan Daily Brief

Tuesday, September 15, 2026

2,306 words · 9 min read

RE: BOJ rate hike imminent · Japan eyes 3.5% GDP defense · Global Hawk crash · Okinawa governor shift · LDP reshuffle tomorrow

NIKKEI 225
63,484.10
▼ -2.55%

USD/JPY
154.93
▲ +0.94%

BRENT
\$102.42
▼ -4.84%

BOJ RATE
1.25%

• TODAY AT A GLANCE

- 1 Japan is weighing raising its defense-spending target to *3.5% of GDP* following direct U.S. pressure, a significant escalation from the 2%-of-GDP level Japan brought forward to JFY2025.
- 2 The BOJ is set for its most consequential rate decision in a generation this week, with markets treating a hike as near-certain and analysts focusing on Governor **Kazuo Ueda**'s forward guidance on the pace of further increases.
- 3 An ASDF RQ-4 Global Hawk reconnaissance drone lost communications off Tottori Prefecture and is presumed crashed in the Sea of Japan, with SDF search operations underway.

• TOP STORIES

ALLIANCE

Japan eyes defense spending at 3.5% of GDP following direct U.S. pressure

Japanese defense officials have already signaled willingness to raise defense spending to *3.5% of GDP* in meetings with U.S. counterparts, per Japan Times and Bloomberg reporting, a sharp step beyond the 2%-of-GDP target Japan brought forward to JFY2025. The new target would represent the largest peacetime defense-spending commitment in Japan's postwar history and is being framed by Tokyo as a response to direct pressure from Washington.

per The Japan Times: "Japan considers defense spending worth 3.5% of GDP after U.S. pressure"

THE JAPAN TIMES

ECONOMY-BOJ

BOJ rate hike all but certain this week; forward guidance and political crossfire are the real test

Multiple reports treat a BOJ rate increase as effectively decided, with Japan Times describing it as the hardest BOJ test in a generation — the third hike in under ten months — as Governor **Kazuo Ueda** navigates simultaneous pressure from the Takaichi government and U.S. Treasury Secretary Scott Bessent. Reuters

reported the yen rally faces a critical juncture if the BOJ's communication disappoints markets pricing in an aggressive tightening trajectory.

per The Japan Times: "Japan's economic comeback faces hardest BOJ test in a generation"

THE JAPAN TIMES

DEFENSE

ASDF RQ-4 Global Hawk reconnaissance drone presumed crashed off Tottori — SDF searching

The Japan Air Self-Defense Force lost communications with an RQ-4 Global Hawk unmanned aircraft over the Sea of Japan; debris was photographed floating off Tottori Prefecture and assessed as likely the drone. SDF units are conducting a search-and-recovery operation.

per The Japan Times: "Japan says reconnaissance drone likely crashed off Tottori"

THE JAPAN TIMES

• OVERNIGHT

POLITICS-DIET

Japan to sidestep funding source in tax-cut outline, keeping fiscal concerns alive · Reuters

Japan's government plans to release a food consumption tax-cut outline without specifying a funding source, per Reuters, keeping alive market concerns about fiscal sustainability as the deficit-financed tax cut draws public skepticism. A separate Kyodo poll found 71% of respondents worried about fiscal health following the tax-cut policy.

ECONOMY-BOJ

Japan's centenarian population tops 100,000 for first time — welfare costs rising · Bloomberg

Japan recorded 107,677 centenarians as of 2026, the first time the figure has exceeded 100,000, with 94,298 — nearly 88% — being women; Bloomberg flagged rising welfare costs as the immediate policy implication.

ENERGY

Nuclear plant operator faces leadership overhaul after earthquake data scandal · Nikkei Asia

A Japanese nuclear plant operator is undergoing a management shake-up after an earthquake data scandal, complicating the Takaichi government's nuclear-restart and energy-security agenda.

ENERGY

Japan's LNG dependency constrains response to Putin's Northern Territories visit · Nikkei Asia

Nikkei Asia reports Japan's reliance on Russian LNG — reinforced by Brent above \$102/barrel — continues to limit Tokyo's available sanctions options following President Putin's visit to the disputed islands, a constraint the Takaichi government has not publicly resolved.

ECONOMY-BOJ

BOJ and Fed simultaneously face market pressure tests on rates this week · Nikkei Asia

Nikkei Asia frames this week as a simultaneous critical test for both the BOJ and the Federal Reserve, with market pressure mounting on both central banks to deliver credible guidance on their rate paths.

• STAT OF THE DAY

107,677

Centenarians in Japan — first time exceeding 100,000

Of the total, 94,298 are women, rising 7,914 from the prior year, adding structural pressure to Japan's social-security and welfare budgets.

Number of centenarians in Japan top 100,000 for first time — Japan Times

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · TUESDAY, SEPTEMBER 15, 2026

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

外務省 · MINISTRY OF FOREIGN AFFAIRS · *State Minister for Foreign Affairs Kunimitsu*

State Minister for Foreign Affairs Kunimitsu visits India

State Minister for Foreign Affairs Kunimitsu traveled to India, per a MOFA release; specific agenda items were not detailed in available articles.

→ [MOFA ↗](#)

日本銀行 · BANK OF JAPAN

Japan–Malaysia bilateral swap arrangement signed at \$6 billion

The Bank of Japan announced the signing of the Third Bilateral Swap Arrangement between Japan and Malaysia, valued at \$6 billion, as part of ongoing regional financial-stability cooperation.

→ [Bank of Japan ↗](#)

金融庁 · FINANCIAL SERVICES AGENCY

FSA to examine real estate lending risks as interest rates climb

Japan's Financial Services Agency placed real estate lending at the top of its credit-risk watchlist as lenders and borrowers adjust to higher interest rates, the Japan Times reported.

→ [The Japan Times ↗](#)

DIET SESSIONS / LDP

LDP

PM Takaichi to reshuffle LDP executives Wednesday, Cabinet on Thursday

Prime Minister **Sanae Takaichi** will reshuffle LDP party executives on Wednesday, September 16, and cabinet ministers on Thursday, September 17, per Kyodo and nippon.com. Asahi Shimbun reported that Nishimura will be retained as LDP election strategy chair, Kajiyama is being named to the general council chairmanship, and Ishii will be replaced as Upper House secretary-general.

OPPOSITION

CDP successor party named 'Minshu Kaikaku no Kai'; Junya Ogawa to lead

The new party formed from the constitutional democratic line was named 'Minshu Kaikaku no Kai' (Democratic Reform Assembly), with Junya Ogawa designated as its representative, per Asahi Shimbun; the party will adopt the prior platform.

CROSS-PARTY LAWMAKERS

Cross-party group urges PM Takaichi to declare ICC support at UN General Assembly address

A cross-party group of lawmakers formally requested that Prime Minister **Sanae Takaichi** express support for the International Criminal Court in her September 22 UN General Assembly address, and separately asked the

government to request that Washington withdraw sanctions on ICC President Tomoko Akane, per the Japan Times.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%
JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%
Yomiuri · Sep 5, 2026	56%	32%

Discourse: The Takaichi Cabinet's record-low approval readings across multiple pollsters — ranging from 41% (Mainichi) to 62% (Nikkei) — are being driven in part by fiscal anxiety over the food consumption tax cut policy, with 71% in Kyodo polling worrying about Japan's fiscal health following the measure.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

FINANCE · BLOOMBERG

Japan's 20-year bond sale demand stronger than 12-month average ahead of BOJ meeting

Demand at Japan's 20-year JGB auction came in above the trailing 12-month average, per Bloomberg, with markets positioning ahead of the BOJ's rate decision this week.

FINANCE · THE JAPAN TIMES

Japan land prices rise for fifth consecutive year, up 1.5% nationwide as of July 1

Nationwide average land prices climbed 1.5% year-on-year as of July 1, 2026, led by major metropolitan areas with robust housing and tourism demand — the fifth consecutive annual increase.

TECH · REUTERS · WAYMO

Waymo and Japanese partners target 2027 Tokyo driverless taxi launch

Waymo and its Japanese partners are targeting a commercial robotaxi service in Tokyo in 2027, representing a first for a city where autonomous-vehicle regulation is described as notoriously strict and streets are narrow.

ENERGY · THE JAPAN TIMES · SB ENERGY, SOFTBANK

SoftBank-backed SB Energy targets \$500 million raise from Japan investors for U.S. IPO

SB Energy, backed by SoftBank, will sell up to \$500 million in shares to Japanese investors as part of a U.S. IPO; proceeds will fund data centers and power plants.

TECH · KYODO NEWS · SHARP, FOXCONN

Sharp begins domestic orders for Foxconn-made AI servers

Sharp Corporation began taking domestic orders for AI servers manufactured by Foxconn, marking its entry into Japan's AI-infrastructure supply market.

FINANCE · NIKKEI ASIA · HIKARI TSUSHIN, MBK, NEC, LEOPALACE21

Hikari Tsushin, MBK, and NEC unit launch \$1.7 billion buyout of Leopalace21

A consortium of Hikari Tsushin, private equity firm MBK, and an NEC unit launched a *\$1.7 billion* buyout bid for Leopalace21, one of Japan's largest apartment operators.

REGIONAL PRESSURE WATCH

High — 44 items (16 Japanese government, 28 adversary signal)

CHINA

China's Foreign Ministry spokesperson Guo Jiakun held the September 15 regular press conference, with China expressing hope that Japan-China friendship groups create conditions for improving bilateral ties — a measured formulation that falls short of an endorsement of the cross-party parliamentary delegation currently in Beijing. Chinese state media (Global Times, CGTN) characterized the Japanese delegation's visit as an 'exploratory gesture' while insisting Japan must acknowledge 'mistakes,' a framing that sets a precondition Tokyo has not accepted.

NORTH KOREA

North Korea formally confirmed via state media that the September 12 launches were a 'joint firepower strike drill' combining long-range artillery, ballistic missiles, and attack drones — claiming 'huge destructive power' — after multiple international outlets reported the launches; USNI News reported the exercise targeted an island in the Sea of Japan. The drill was conducted one day after Freedom Edge 2026 US-Japan-South Korea trilateral exercises concluded near Jeju Island.

RUSSIA

Nikkei Asia reported today that Japan's LNG dependency is constraining its response options following President Putin's visit to the disputed Northern Territories islands, with Brent above \$102/barrel reinforcing Japan's energy-dependence on Russian supplies.

Senkaku / ECS: No new Senkaku / East China Sea incident reported in today's articles; the sustained JASDF scramble streak reported through September 10 has not been updated in today's feed.

"Huge destructive power"

North Korean state media (KCNA) · North Korea says recent drill shows 'huge destructive power' — DW.com

"exploratory gesture"

Global Times (Chinese state media) · Japanese cross-party delegation's visit to China an 'exploratory gesture,' yet recognition of mistakes required — Global Times

Bottom line: North Korea's formal confirmation of the September 12 joint firepower drill — framing it as a demonstration of 'huge destructive power' one day after Freedom Edge 2026 concluded — is the sharpest adversary signal this cycle. The cross-party Japan parliamentary mission in Beijing is generating coordinated Chinese messaging demanding acknowledgment of 'mistakes' before any substantive diplomatic progress, setting a precondition Japan has not accepted.

• U.S.-JAPAN RELATIONS

TRADE · MOOMOO / FINANCE.BIGGO

BOJ navigates Takaichi government and U.S. Treasury pressure as rate decision nears

Market commentary confirms that BOJ Governor Kazuo Ueda faces simultaneous political pressure from the Takaichi government and from U.S. Treasury Secretary Scott Bessent as the BOJ prepares its rate decision, with both the domestic political calendar and U.S.-Japan financial coordination in play.

• INDO-PACIFIC PARTNERS

KOREA-JAPAN · KOREA HERALD

South Korea and Japan defense chiefs agree on cooperation based on mutual understanding

The defense ministers of South Korea and Japan agreed to advance defense cooperation on the basis of mutual understanding, per the Korea Herald, as trilateral US-Japan-ROK coordination frameworks remain active following Freedom Edge 2026.

TRILATERAL · JAPAN NEWS / YOMIURI

Okinawa governor shift expected to ease Japan defense buildup near Taiwan — Nikkei

The election of conservative Okinawa Governor **Genta Koja** clears a political path for accelerating Japan's Nansei Islands defense buildup near Taiwan, with the Futenma-to-Henoko relocation now facing less gubernatorial resistance.

• EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

HUDSON INSTITUTE

The Hormuz Shock: Japan's Energy Security under Strain

Strait of Hormuz supply disruption is placing acute strain on Japan's energy security, which depends heavily on Middle East oil and LNG flows.

The Hudson Institute analysis examines how a Hormuz shock scenario would cascade through Japan's energy import dependency, with Brent already above \$102/barrel and Japan's LNG reliance on Russia simultaneously constraining Tokyo's geopolitical options. The piece connects energy vulnerability to broader strategic choices Japan faces on sanctions, nuclear restarts, and diversification. It frames the current Brent pricing environment as a stress test of Japan's energy security architecture.

SO WHAT The analysis directly bears on PM Takaichi's energy security portfolio and the IEA Executive Director's September 14 meeting in Tokyo, where closer Japan-IEA cooperation on supply disruption planning was discussed.

• THE WIRE

CHINA-JAPAN

THE JAPAN TIMES

Japan cross-party delegation in Beijing as diplomatic deadlock persists

A delegation of Japanese lawmakers arrived in Beijing weeks after a prior group, seeking to stabilize ties, though the Japan Times assessment and South China Morning Post analysis conclude the outreach is unlikely to break the deadlock without direct engagement from Prime Minister Takaichi.

ECONOMY-BOJ

NYT

NYT: Architects of Japan's easy-money era are changing their minds ahead of BOJ decision

NYT reports a widening divide among economists and former Abenomics architects over how Japan should confront inflation, as the BOJ weighs another rate increase that would mark a decisive break from the post-Abe consensus.

JAPAN FORWARD

Nidec quality fraud — 844 misconduct cases linked to pressure from founder Nagamori

An investigation found 844 cases of quality fraud at Nidec, linking them to intense top-down pressure from founder **Shigenobu Nagamori**, who has not publicly addressed the findings.

POLITICS-DIET

NIKKEI ASIA

Japan's fiscal-efficiency push finds only \$110 million in savings

Japan's government cost-cutting initiative — modeled partly on U.S. DOGE-style efficiency reviews — identified only \$110 million in savings, a result Nikkei Asia describes as meager relative to the scale of Japan's fiscal challenge.

TECHNOLOGY

NIKKEI ASIA

Sakana AI and Turing emerge as top-funded Japan startups as investor selectivity rises

Nikkei Asia reports that Sakana AI and autonomous-vehicle firm Turing are capturing a disproportionate share of Japan startup investment as venture allocators become increasingly selective in a tightening rate environment.

• UPCOMING

Sep
16

LDP executive reshuffle — PM Takaichi to announce new party leadership

Prime Minister Sanae Takaichi will install new LDP party executives on Wednesday; cabinet ministers follow on Thursday, September 17.

Sep
17

Cabinet reshuffle — Takaichi cabinet lineup expected

New cabinet ministers to be named one day after the LDP party-executive reshuffle; Takaichi has signaled a focus on US-savvy ministers.

Sep
19

BOJ Monetary Policy Meeting decision (estimated this week)

Markets treat a rate hike as near-certain; the BOJ's forward guidance on the pace of further increases is the primary market variable. Exact date of decision not confirmed in today's articles — estimates point to mid-to-late this week.

Sep
22

PM Takaichi addresses UN General Assembly

Takaichi is confirmed to address the UNGA on September 22; cross-party lawmakers are pressing her to use the speech to declare support for the ICC and seek withdrawal of U.S. sanctions on ICC President Tomoko Akane.

Oct
1

Waymo Tokyo robotaxi service — 2027 target set (watch for regulatory milestone dates)

Waymo and Japanese partners are targeting a 2027 commercial driverless taxi launch in Tokyo; regulatory approvals in Japan's strict autonomous-vehicle framework are the critical near-term milestone.

• ON THIS DAY

SEPTEMBER 15, 2017

A Hwasong-12 intermediate-range ballistic missile overflew Hokkaido for the second time in 2017, triggering J-Alert sirens across northern Japan.

North Korea's September 12, 2026 joint firepower drill — confirmed today by Pyongyang — occurs nine years after the 2017 overflight series that first drove Japan's current missile-defense investment cycle.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the Japan Daily Brief as a member of the CSIS Japan Chair distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Deirdre Martin at dmartin@csis.org.

generated 10:03 AM ET

[↑ BACK TO TOP](#)